



**THE IMPACT OF REFUGEES
AND MIGRANTS ON ECONOMY
(Case: Refugees and Migrants in Germany)**

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INTRODUCTION

There were lots of political, social and economic changes during the XX century. Political changes caused deviations of social and economic conditions in some states, which, on the other hand, gave a stimulus to groups of people to flee from one place to another because of military or political conflicts. People got the direction towards industrialized and advanced states. The German Federal Republic wasn't an exception of the states, which has been receiving the groups of people from different part of the world. Even that time there were discussions about the impact of those migrations on the economy of Germany (The West Germany, GFR). It is really discussable whether the „cheap“ labor force had a good impact of the post-war devastated economy of Germany, however, that is not the topic of our research. Carl Föhl claimed, that in long-term perspectives, the migrants from Turkey and other states would have an unprofitable impact on German Economy.¹ On the other hand, Carl Kindleberger argued that the foreign labor force helped Germany and other European states to recover from war destruction.

1 Föhl, C., 1967. Stabilisierung und Wachstum bei Einsatz von Gastarbeitern. *Kyklos*, 20(2), pp.119-146.

The history moves around almost every time. After the war in Syria and Iraq caused by Islamic State of Iraq and Syria/Levant (respectively, ISIS/ISIL) or just Islamic State, hundreds of thousands of people, mostly from Syria, Jordan, Iraq, Afghanistan, Pakistan,¹ fled to the European Union, where the conflict is still going on. According to BBC article, which is based on Eurostat figures, is claimed, refugees (or migrants, we define these two words later) prefer to start new life in Germany and apply for asylums there.² Therefore, the questions erupt immediately – what affect will the newcomers have on the Economy of Europe? And for us it is interesting the economy of Germany, which now is flourished and prospered. Will newcomers spread German economy more and make Germany much richer or they will be reason of recession and unemployment?

The topic is interesting and important, because of the results of such researches or high-level studies about will lead policy makers to some actions, which impact on the other states, especially, when the research is about Germany, immigration policy of which often have effects on the total EU migration policy. Some theorists and economists claim that refugees will make the same impact as it happened in the second half of the previous century – proved fact of left-wing theorists, that in short and middle-term perspectives migrants would have profitable effect on the market, which was lacking cheap labor force, however, in long-term – newcomers gradually would bring with them rest of their families and start applying for citizenship, in order to benefit more from the German common goods.³ Hence, the main purpose of this research paper is to understand what real impact have migrants on the hosting economies, this paper is free from any kind of ideological directions, we discuss only ideology-free negative and positive economic effects on the market,

1 Eurostat, Asylum and first time asylum applicants by citizenship, age and sex Annual aggregated data (rounded) - http://ec.europa.eu/eurostat/product?code=migr_asyappctza&language=en&mode=view

2 BBC; March 4, 2016, Migrant Crisis: Migration to Europe explained in seven charts. - <http://www.bbc.com/news/world-europe-34131911>

3 Cohen, R., 1987. The new helots: migrants in the international division of labor.

budget and the whole economy of Germany.

Henceforth, the main research question is *what positive and negative impacts do migrants/refugees have on the economic growth of Germany?* The research paper will be based on the two parts – economic and social ones. The new migration wave is in the process these days and the number of newcomers depends on the policy the Germany and its population supports. The latter, respectively, depends on the costs and benefits what migrants are making right now and analyzing the middle and long term effects of their performance in the German economy. In order to understand the future economic impact of migration on Germany, it is reasonable and adequate for the main purpose of the research paper to analyze the fiscal effects of migrants of the previous “waves” of moving into Germany and compare the results in short and long term. Generally, migration impacts on several fields of economy, however, we will only examine part of wages and unemployment. On the other hand, we will discuss migrants’ benefits from the welfare system (this can be separated in some parts) and demographics. Therefore, our research paper will lead the methodology of comparison of several periods of German history since World War II. We will use valid statistical figures about the migrants, economic changes (government spending, surplus made by migrants etc.), social changes (attitudes, desires, etc.), and other parts of the research, where statistics will help us to answer the question asked at the beginning.

CHAPTER 1 -

MIGRANTS IMPACT ON GERMAN ECONOMY

This chapter analyzes the impact of migration on the two the most important economic parts of the society – wages and employment. These two macro-economic aspects (wages aren’t macro-economic one, however, inflation and prices are, which are related to the wages and living costs) determine the productivity of human capital, distribution of wealth and general functioning level of the economy.

1.1 - Wages

One of the most comprehensive researches made on the migrations impact on the wages is by Rainer Winkelmann (1996), who has been analyzing data from German Socio-Economic Panel and his analyzes based on the researches of John De New and Klaus Zimmermann (1994). These two types of researches provide good answer about the migrants impacts on the wages and what is one of the best parts of their researches is their case of Germany. Both studies came up with the same results. De new and Zimmermann researched so-called “white collars” and “blue collars” market and proved, that the increasing of share of migrants in “blue collars” market by 1%, respectively, decreases the average hourly-counted wages for the natives in the same market by 0.45%, however, there is different situation in the “white collar” market. The increase of migrants share in it by 1%, increases the average hourly-counted wage for natives by 0.12%.¹ Moreover, Winkelmann diversified the so-called “white” and “blue collars” from apprenticeship workers to university degree holders and simply called them unskilled and skilled workers. He argued, that the most of unskilled workers in Germany were foreigners and their performance war harmful for the both – for them and for the natives, as well, however, there was positive correlation between the skill (combined with education and qualification) and impact of migrants’ inclusion into the market. That means the more skill you had, the less impact had migrants on your wage, because most of the migrants were unskilled.² Same there, he mentioned, that he had gotten the same result as De New and Zimmermann did, however, only the percentage of wages impacts were different.³ By using the simple and basic theory of economics – demand and supply, we can explain why it happens so. It’s common for everyone, that the more the we supply some goods to mar-

1 John, P. and Zimmermann, K.F., 1994. Native wage impacts of foreign labor: a random effects panel analysis. *Journal of population economics*, 7(2), pp.177-192.

2 Winkelmann, R., 1996. Unskilled labor and wage determination: An empirical investigation for Germany. *Journal of Population Economics*, 9(2), pp.159-171.

3 Ibid., p.170.

ket, the lower becomes the price per unit, henceforth, the same happens to labor market, when more and more labor force of migrants are being supplied to market, additionally, for the lower price, which is offered by migrants, more tend is the minimum wage to the fixed minimum one, if the latter is fixed in country (In Germany minimum wage is 8.50 euros per hour¹). We can also explain, that because most of migrants are illegal, that's why they offer their job for the cheaper price and consequently from all of this, the wages decreasing in middle-term, however, in long-term, they might increase, because gradually the qualification and experience of working migrants increase and they start demanding more wages, adequate to their qualification, simultaneously, most of them naturalize and get citizenship, which obliges employees to pay equal or almost equal to them.

1.2 - Unemployment

From the same economic principle, that we have mentioned above, demand and supply, we can argue, that the higher migration is into the labor market, the higher might be unemployment rate in this market. This economic situation is tenaciously linked with the wages and consumer prices. That's the argument of Christian Lutz and Ingo Walter, where they claimed, that the high unemployment stimulates reducing of wages and, henceforth, the reduced wages eventually, between the period of the short and middle-term, decreases the consumer prices.² Then they develop the idea of the chain impact of migration and claim, that the migration also has effects on the export, import and world prices, however, for us the only interesting argument is the impact on the local macro-economic conditions. Their argument and logic of the idea again make us answer with the simple “demand-supply” structure. When the higher amount of labor force is being supplied to the market, the

1 DeStatis – Statistisches Bundesamt; 2015. Statutory minimum wage in Germany for the first time in 2015 - <https://www.destatis.de/EN/FactsFigures/NationalEconomyEnvironment/EarningsLabourCosts/MinimumWages/Current.html;jsessionid=B37FB38BBC47FD1AE93033B72E4AB58B.cae2>

2 Lutz, C. and Wolter, M.I., 2001. The economic impact of immigration in Germany. Ges. für Wirtschaftl. Strukturforschung (GWS).

price per worker decreases, which make more competitor worker per one working place and, because the only one can take this place, other become unemployed. However, because the population grows, the total consumption increases, which, with the impact of the lower wages, make the consumption price cheaper.

In spite of above-mentioned principle and opinion, Zimmermann and Mühleisen proposed the different idea. They developed theory about the correlation of economics and demographics, where they claimed, that Western European, especially, German labor force structure tended to be aged, hence, more people were becoming beneficiaries and less people were becoming workers, who, consequently, were distributing the wealth into welfare system and providing it with money. They tried to prove, that migrants, who mostly are young and capable of working, would fill the age gap in the labor market, as they did it in the previous decades in Germany.¹ Additionally, again they used economic principle of “demand-supply” and argued, that the migrants, who, surely, were consumers, become additional consumers in market, which means the increasing of demand for the goods in the market and this would stimulate firms to catch up with the increased demand by increasing supply and, henceforth, hire more workers and this means increasing of employment rate, however, not as much as to impact strongly on other macro-economic parts.

CHAPTER 2 - MIGRANTS IMPACT ON SOCIAL ISSUES

Despite the economic impact of migration, not less important are social changes caused by newcomers. Social aspects are in much higher correlation with each other, than economic ones, however, because of simplification to make proper results, we will examine only demographics and with ensuing consequence of it, migrations’ impact on welfare system of Germany.

2.1 - Demographics

Discussing the costs and benefits of migration into Germany, should

¹ Mühleisen, M. and Zimmermann, K.F., 1994. A panel analysis of job changes and unemployment. *European Economic Review*, 38(3), pp.793-801.

be firstly described in terms of structure of German population. The research of Federal Office for Migration and Refugees shows, that like other advanced and industrialized societies, Germany also faces with the aging of population, that means increasing of beneficiaries of the welfare system according to age and decreasing the number of population capable of working, who are contributors to this system during their working period. According to their researches, from 1998 to 2050 the dependency ratio for German society will increase much more than twice from 41.9 to 107.7.¹ Henceforth, the usage of migrants as the tool to change the structure of population and make it younger, in order to avoid the future collapse of the welfare system is considered as the best way by politicians and economists, because, generally, migrants' fertility rate is about 2.66 child per woman, while the fertility of native Germans according to 2010 data is 1.36.² These figures have been maintaining almost the same rate for decades, especially, the rate of fertility of migrants. These figures show, that newcomers, who mostly are youth people, may help German demographic problem of aging the population and, therefore, after naturalization and maintaining the same rate of fertility, support the welfare, mostly, pension system of Germany. We can discuss and predict the positive impact of migrants on the age structure of German population and then make consequences about the impact on welfare system, however, the calculated tendency of 80s and 90s and next period shows, that since 80s the share of foreigners who has been benefiting from the welfare system increased from 8.3% to 23.5%, when their share of population increased just from 7.2% to 8.9%. Concluding these several figures and ideas, we can make some predictions about the demographical impact of migration and it might say, that, surely, the effects on the age structure of population will be positive, because of the high level of fertility, however, the tendency of the aging the population is still growing, that means, the increase of share of recipient migrants and latter is proved by statistics.

1 Federal Office for Migration and Refugees, 2005, *The Impact of Immigration on Germany's Society*.

2 Cygan-Rehm, K., 2014. *Immigrant Fertility in Germany: The Role of Culture*. *Schmollers Jahrbuch*, 134(3), pp.305-340.

2.2 - Welfare System

The increase of share of recipient migrants may cause the disproportionality between contributing and benefiting into and from the welfare system. Natives, theorists, economists, even politicians have fairs, that migrants benefit more from the welfare system, then they generate wealth for it, consequently, that would be devastating for the general economy and budget. The problem is, as Ulrich argued, that most of migrants were illegal and, therefore, worked illegally in Germany, hence, didn't pay the same amount of taxes as Germans did or even didn't pay taxes at all, however, when they become naturalized or legal migrants, they started getting benefits from the pension and healthcare systems, however, at the same time, he claimed, that there were some years, when migrants made more profit for budget, than got benefits from it. The latter was expanded by Loeffelholz and Kopp, where they developed opinion and proved it using some macro-economic aspects, that in spite the fact of paying less than Germans, migrants have been making approximately 30 billion German Marks profit for federal budget and since the late 90s made effort to grow GDP BY 1.3% and create more than 80.000 jobs.¹

However, in these and other studies, there were not considered and calculated what migrants have been consuming while contributing to the budget. To fill this gap, Hans-Werner Sinn with his colleagues added the characteristics of consumption by migrants. They proved, in spite of defer contribution to welfare system of Germany, migrants benefit less from it, than they contribute and there were only some years when these sums were negative. They calculated, that since the end of 90s, migrants who had been staying in Germany and had been involved in German labor market for about 20-25 years, contributed more than 1500 German marks to the pension and care systems, than they got from it.² They explained this fact using the Assimilation Hypothesis, which claims, that

1 von Loeffelholz, H.D. and Köpp, G., 1998. *Ökonomische Auswirkungen der Zuwanderungen nach Deutschland*. Duncker & Humblot.

2 Sinn, H.W., Flaig, G., Werding, M., Munz, S., Düll, N. and Hofmann, H., 2001. *EU-Erweiterung und Arbeitskräftemigration: Wege zu einer schrittweisen Annäherung der Arbeitsmärkte*. ifo Beiträge zur Wirtschaftsforschung.

when the duration of staying of migrants increases, the dependency on welfare system decreases.

Gieseck, Heilemann and Loeffelholz, researching the economic impact of migration from 1988 to 1992, expanded and detailed the costs of government for the migrants. Generally, they calculated the costs for migrants and payments for them by the figures of the end of 80s and beginning of 90s, where they shew, that income from the migrants were about 14-15 billion German Marks, while the public expenditure for them were about 18-20 billion German Marks. In spite of previously mentioned researches, who mostly were focused on the macro and micro economic determinants, these researchers added the factors like education and transportation, where German Federal Government spends a lot of money. Certainly, they considered economic factors and explained, that increasing population by migrants, who produce and consume goods, increases public transportation units and subsidies for school (more building, more teacher, more wages).¹ They claimed, that public expenditures of government on education for migrants were negative for the budget in short-term, however, in long-term these migrant pupils, who would be included in German labor market, become profitable for the general economy. On the other hand, expenses on the public transportation anyway would be increased anyway, as they estimated the growth of these expenses, and the reason is natural growth of population, however, these expenses aren't returnable in any period of time.

CONCLUSION

We have discussed the migration impact on several parts of society of Germany during the past period, which helps us to understand and predict what will help in future considering current Migrant Crisis. Economically, we examined two, maybe the most important, directions – wages and unemployment. Wages of workers naturally depends on their education, skills, qualification and because most of the migrants are low-

1 Gieseck, A., Heilemann, U. and von Loeffelholz, H.D., 1995. Economic implications of migration into the Federal Republic of Germany, 1988-1992. International Migration Review, pp.693-709.

skilled workers, the main impact was being made on the part of industries where low-skilled workers worked. More migrants in these industries meant more supply and, therefore, reducing the price per worker, however, among workers of high education and qualification, there has been shown positive effect of migration, which was slight. Migration affects on employment differentiates from the point of view. Some explain, that bigger supply of labor force will cause increase of unemployment rate, some oppose to this and claim, that more population increase consumption, which will increase demand for goods and, therefore, stimulates firms to produce more. However, the conclusion for unemployment part and impact of migration on it, isn't obvious, because employment depends not only on the supply labor force and demand for goods.

On social aspects, migration mostly has impact on demographics and, consequently, on the welfare system, which is densely linked with the demographical situation of society. Aging of German society was and still is burden for the welfare system and budget, therefore, higher fertility of migrants has been helping German demographic, however, in long-term, even migrants' structure of population tends to start aging, consequently, in long-term, migrants become trouble for welfare system, especially, when most of migrants work illegally and don't pay taxes, while getting benefits from the pension, healthcare and other social welfare systems.

Summing up the paper, if we back to our main question, *what positive and negative impacts do migrants/refugees have on the economic growth of Germany?* generally, we can claim, that migration had negative effect on the German economy, considering demographical and other social aspects, however, in long-term, it had slight positive impact on macro-economic and population issues, that means the fears of Natives about migration is fair about short-term shocks, nonetheless, they don't consider future profits of migration.

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მიგრანტების გავლენა ეკონომიკაზე (გერმანიის მაგალითზე)

ზურა გამთენაძე, გოჩა ლობჯანიძე,
თემო ბეჟანიძე, მარიამ გულიაშვილი,
თორნიკე შევარდნაძე — თსუ პოლიტიკის
მეცნიერების ბაკალავრიატის
მე-3 და მე-4 კურსის სტუდენტები

რეზიუმე

აღნიშნული ნაშრომი მიზნად ისახავს შეისწავლოს მიგრანტების გავლენა მიმღები ქვეყნის ეკონომიკაზე. ნაშრომში გაანალიზებულია ორი მაკროეკონომიკური მიმართულება — საშუალო ხელფასები და უმუშევრობის დონე, ასევე მიგრანტთა სოციალური გავლენა მიმღები ქვეყნის დემოგრაფიულ მაჩვენებლებსა და სოციალური უზრუნველყოფის სისტემის კომპონენტებზე. ნაშრომში კვლევის ობიექტად აღებულია გერმანია და მისი ეკონომიკა. ჩგერმანიის ქეისი შემთხვევით არაა აღებული, რადგანაც გერმანია მეორე მსოფლიო ომის შემდეგ მილიონობით მიგრანტის მიმღებ ქვეყნად ითვლებოდა და ითვლება. ანალიტიკურად დამტკიცებულია, რომ მეორე მსოფლიო ომში განადგურებული გერმანიის ეკონომიკა, სწორედაც რომ თურქი და ახლო აღმოსავლეთელი მიგრანტების შედეგად წამოდგა ფეხზე და გაძლიერდა. იმისათვის, რათა ახლანდელი შედეგები გაანალიზდეს და ამავედროულად სამომავლო განვითარებაც განვსაზღვროთ, საჭიროა გასული ათწლეულების ეკონომიკური დინამიკის შეფასება სხვადასხვა სტატისტიკური მონაცემების საფუძველზე და დღევანდელ მდგომარეობასთან შედარება.

საკვანძო სიტყვები: მიგრანტები, ეკონომიკა და სოციალური გავლენა, მაკროეკონომიკა, სოციალური კეთილდღეობა.